

# US 252034 — Monitor and evaluate team members against performance standards



Formulate performance standards and monitoring systems, prepare for a performance review, and conduct the review interview — the complete lesson deck.

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| Level 5   | 8 credits | National Certificate:<br>Generic Management | 59201   |



## LESSON 1

# Formulate performance standards and monitoring systems



# Performance management — the big picture

Unit Standard 252034 — Monitor and evaluate team members against performance standards. This unit is for managers in all economic sectors — typically second-level managers such as heads of department, section heads or divisional heads who may have more than one team reporting to them.

Most organisations are moving from a once-a-year appraisal to a continuous programme of performance management. A productive performance management system is a two-way avenue of communication between a supervisor and an employee: it helps employees improve their performance, and it helps the organisation succeed in a competitive, cost-conscious environment.

The annual performance appraisal is not an end in itself — it is a means to an end. It is only the third and final part of an ongoing process that starts with performance planning (setting reasonable expectations and standards) and coaching and counselling (constructive feedback, guidance and assistance to improve performance).

According to Armstrong and Baron (1998), performance management is both a strategic and an integrated approach to delivering successful results in organisations by improving the performance and developing the capabilities of teams and individuals.



# Performance management — the big picture ...(continued)

- Supervisors and managers are employed to manage the performance (effectiveness and efficiency) of the organisation and the people who make up its human resources. Unfortunately, research conducted in most organisations indicates they are not doing a very good job of it:

| What employees say                                                         | %   |
|----------------------------------------------------------------------------|-----|
| Managers do not provide clear goals and directions                         | 70% |
| Managers are poor or average in providing direction                        | 55% |
| Performance expectations are not clearly defined                           | 70% |
| Have never had a meaningful performance discussion with their manager      | 70% |
| The most important information needed concerns ways to improve performance | 65% |
| Their supervisor does not follow up on the review                          | 80% |



# Performance management — the big picture ...(continued)

| What employees say                                                                            | %   |
|-----------------------------------------------------------------------------------------------|-----|
| Believe their company's system for evaluating performance is not fair                         | 71% |
| Poor performance is tolerated too long                                                        | 52% |
| Do not see a relationship between good work and rewards                                       | 80% |
| Believe pay should reflect performance — yet only 48% believe their company's pay system does | 98% |
| Want more recognition of their efforts                                                        | 70% |
| Believe their pay is not tied to performance                                                  | 70% |



# Components of a performance management system

An effective performance management system is built from six components that run right through the year — not a single meeting.



## 1 · Performance planning

Done jointly by the appraisee and reviewer at the start of the session. Targets and key performance areas for the year are agreed within the performance budget.



## 2 · Appraisal & reviewing

Normally twice a year — mid review and annual review. The employee first completes a self-appraisal and describes achievements in quantifiable terms; the appraiser then gives final ratings.



# Components of a performance management system ... (continued)

## 3 · Feedback & counselling

The employee learns about areas of improvement and whether expected performance levels are being met — open, transparent feedback plus identified training and development needs.

## 4 · Rewarding good performance

Public recognition and reward for good performance. This directly influences motivation, self-esteem and achievement orientation.

## 5 · Performance improvement plans

Fresh goals and a deadline for improvement, clearly communicated, jointly developed and mutually approved.

## 6 · Potential appraisal

Assesses potential for lateral and vertical movement — inputs for succession planning and job rotation through competency mapping.

- A good performance management system improves overall organisational performance by managing the performance of teams and individuals towards the organisation's ambitions and goals. It plays this role by:



# Components of a performance management system ...

## (continued)

- Ensuring employees understand the importance of their contributions to the organisational goals and objectives.
- Ensuring each employee understands what is expected from them — and whether they possess the required skills and support to fulfil those expectations.
- Properly aligning and linking objectives, and facilitating effective communication throughout the organisation.
- Facilitating a cordial, harmonious relationship between the individual employee and the line manager, based on trust and empowerment.
- It also lifts job satisfaction and employee loyalty through: regular open and transparent feedback; a clear link between performance and compensation; ample learning and development opportunities (e.g. leadership development programmes); fair and equal distribution of incentives and rewards; clear objectives set through open communication and joint dialogue; recognition of good performance; and maximum opportunities for career growth.



# Components of a performance management system ...

## (continued)

| Who benefits | How                                                                                                                                                                                 |
|--------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Organisation | Improved organisational performance, employee retention and loyalty, improved productivity, overcoming barriers to communication, clear accountabilities, and cost advantages.      |
| Manager      | Saves time and reduces conflicts; ensures efficiency and consistency in performance.                                                                                                |
| Employee     | Clarifies expectations; self-assessment opportunities clarify job accountabilities and contribute to improved performance; clearly defined career paths; promotes job satisfaction. |



# Developing performance standards — steps 1 to 3

There is an eight-step process for developing employee performance standards that support organisational goals. Do not begin at the bottom of the organisation with the position description — begin by looking at your department's goals and objectives.

## **Step 1 · Look at the overall picture**

Gather information relating to your department's general outcome goals as outlined in its departmental plan — before writing any individual standard.

## **Step 2 · Determine work-unit accomplishments**

Identify the unit's accomplishments — its products or services. Use the goal cascading method to determine unit goals from departmental goals; it works best where clear goals exist in strategic and annual performance plans.



# Developing performance standards — steps 1 to 3 ... (continued)

### Step 3 · Individual accomplishments

Determine how each individual contributes to the unit's goals using a role-results matrix — a table identifying the results each work-unit member must produce.

### Example — Goal cascading — XY Insurance (claims division)

- Departmental goal: to enhance customer service standards.
- Team objective 1: reduce claim processing time to 2 days by end of 30 September.
- Team objective 2: reduce claims errors by 10% by 30 June.
- Team objective 3: handle and solve customer complaints within 24 hours.



# Developing performance standards — steps 1 to 3 ...

## (continued)

- Apart from unit objectives, the supervisor must determine the products and services the unit produces (knowing the customer quality standards for them) and the process the unit follows — presented on a flow chart that maps each successive step to the final product or service.
- Building the role-results matrix: (1) list the unit's products or services across the top row; (2) list each member or job position down the left column; (3) for each cell ask — what must this member produce or perform to support this product or service?; (4) list those accomplishments in the cell — they are candidate performance elements for the employee's plan.
- All performance elements should be quantifiable or verifiable, and described as accomplishments (nouns), not activities (verbs).
- The supervisor must check the job description of each team member while developing the role matrix.



## Step 4 — elements, weights and the critical test

In step 4 you identify which accomplishments become elements in the performance plan, select the type of each element, and assign weights or priorities. All employees must have at least one critical element in their plan, and critical elements must address individual performance only.

Once elements are classified as critical, non-critical or additional, prioritise them so work units and employees know which matter most — one way is to distribute 100 percentage points across the elements based on each one's importance to the organisation.

- The critical test — is the element a major component of the work? If yes, it might be critical.
- Does the element address individual performance only? Elements measuring group performance cannot be critical (except for supervisors under certain circumstances).
- If the employee performed unacceptably on the element, would there be serious consequences for completing the organisation's work? If errors affect the unit's accomplishments, it may be critical.
- Does the element require a significant amount of the employee's time? If yes, it might be critical.
- The supervisor must verify assignments against the job descriptions, or ask for team or individual input.



## Step 4 — elements, weights and the critical test ...(continued)

| Employee assignment or responsibility                          | Type of element | Priority points |
|----------------------------------------------------------------|-----------------|-----------------|
| Receive, direct and relay telephone and fax messages           | Critical (CE)   | 40              |
| Pick up and deliver the mail                                   | Critical (CE)   | 40              |
| Maintain the general filing system and file all correspondence | Additional (AE) | 10              |
| Maintain an adequate inventory of office supplies              | Additional (AE) | 5               |
| Coordinate the repair and maintenance of office equipment      | Additional (AE) | 5               |
| Total                                                          |                 | 100             |



## Step 5 — determine work-unit and individual measures

Measures are the yardsticks used to determine how well work units and employees produced or provided products or services. First determine the general measure(s) that apply to each element, then determine how to measure it specifically.

If you can measure an accomplishment with numbers, record the form of measurement. If you can only describe performance (observe and verify), clarify who will appraise the performance and the factors they will appraise.



### Quality

How well the work was performed — accuracy, appearance, usefulness or effectiveness. Includes error rates (number or percentage of errors allowable per unit of work) and customer satisfaction rates from surveys.



### Quantity

How much work was produced — expressed as a number of products or services, or a general result to achieve.



## Step 5 — determine work-unit and individual measures ... (continued)

### **Timeliness**

How quickly, when, or by what date the employee or work unit produced the work.

### **Cost-effectiveness**

Whether the result was achieved within the resources and budget available.

- Team involvement is required when determining measures.

| Points | Responsibility                                       | Element       | General measure | Specific measure                                                                 |
|--------|------------------------------------------------------|---------------|-----------------|----------------------------------------------------------------------------------|
| 40     | Receive, direct and relay telephone and fax messages | Critical (CE) | Timeliness      | Number of rings for incoming calls · seconds before transfer to the right person |



## Step 5 — determine work-unit and individual measures ... (continued)

| Points | Responsibility                                                 | Element         | General measure | Specific measure                              |
|--------|----------------------------------------------------------------|-----------------|-----------------|-----------------------------------------------|
| 40     | Pick up and deliver the mail                                   | Critical (CE)   | Timeliness      | Number of minutes to pick up and deliver mail |
| 10     | Maintain the general filing system and file all correspondence | Additional (AE) | Quality         | Ratio of filing errors                        |



## Step 6 — develop work-unit and individual standards

Performance standards are management-approved expressions of the performance thresholds, requirements or expectations that employees must meet to be appraised at particular levels of performance.

Before writing the Fully Successful standard, know how many levels your appraisal programme uses. With two levels, Fully Successful is a single point — at or above it is Fully Successful, below it is Unacceptable. With five levels, Fully Successful is a range: above the range earns higher levels; below it is Minimally Successful or Unacceptable.

- Measures must be clear and concise — it is easy to overlook critical detail. 'Meeting sales targets' sounds simple: is that the annual target, or all 12 monthly targets?
- After development, standards must be recorded in the format the organisation specifies, filed, and treated as confidential.
- Team involvement is required when developing standards.



## Step 6 — develop work-unit and individual standards ... (continued)

| Element                                       | Specific measure                            | Minimally successful     | Fully successful    | Exceeds fully successful |
|-----------------------------------------------|---------------------------------------------|--------------------------|---------------------|--------------------------|
| Receive, direct and relay calls (CE · 40 pts) | Rings before answering · transfer lead time | 4–5 rings · 6–10 seconds | 3 rings · 5 seconds | 1–2 rings · 2–4 seconds  |
| Pick up and deliver the mail (CE · 40 pts)    | Minutes lead time                           | 40–60 minutes            | 30 minutes          | 15–25 minutes            |
| Maintain general filing system (AE · 10 pts)  | Ratio of filing errors                      | 12%–20%                  | 5%–10%              | 1%–3%                    |



## Step 7 — monitor performance and give feedback

Monitoring performance means measuring performance and providing feedback to employees. Appraisal programmes must provide ongoing appraisal — including one or more progress reviews per appraisal period — and beyond that, supervisors and employees should discuss performance informally and often.

You may have built great elements and standards through the first six steps, and then find monitoring an element is impossible, too costly or too time-consuming — if so, rethink the specific measures.

Monitoring is not a witch-hunting exercise to get rid of your enemies. After setting up the system, communicate it to all team members: at shift start/end meetings, via email, on notice boards, in a formal letter, and during induction and coaching.

- To complete this step: determine what data to collect for each element, its source, and whether to collect all data or a sample; decide when it is collected, by whom, and who receives it; review existing reports as feedback reports; create feedback tables or graphs where applicable; and design feedback processes that give feedback automatically.



# Step 7 — monitor performance and give feedback ...

## (continued)

- Monitoring methods: (1) reviewing work — total output or samples; (2) observing work activities; (3) reading reports, charts, time sheets, work records or logs; (4) employee self-reporting on progress; (5) surveying other units, the public or clients; (6) noting and investigating complaints and commendations.
- Some monitoring is ongoing to catch problems early (checking samples or observing several times a day or week); other monitoring is at wider intervals — monthly or quarterly reviews, or occasional random checks.
- Team involvement is required when setting up the monitoring methods.

| Element                         | Feedback sources for monitoring                        |
|---------------------------------|--------------------------------------------------------|
| Receive, direct and relay calls | Supervisor observation (360° tool) · customers · peers |
| Pick up and deliver the mail    | Supervisor observation (360° tool) · customers · peers |



## Step 7 — monitor performance and give feedback ... (continued)

| Element                    | Feedback sources for monitoring                                             |
|----------------------------|-----------------------------------------------------------------------------|
| Maintain the filing system | Supervisor observation (360° tool) · peers · data from the automated system |



# 360-degree (multi-rater) feedback

360-degree feedback — also known as multi-rater feedback — is employee development feedback from colleagues, peers and managers, plus self-assessment, and sometimes clients, volunteers or other stakeholders.

Senior managers (including executive directors) assess others but often receive little feedback themselves — 360-degree feedback lets any individual understand how their effectiveness as an employee, manager or co-worker is viewed by others.

- What it can achieve: a broad perspective of how the person is perceived and their impact on others — positive and negative.
- It encourages open feedback that is perceived as more valid and objective, leading to acceptance of results and required actions.
- It clarifies critical performance aspects, reinforces desired competencies and identifies strengths the organisation can use.
- It supports continuous improvement and focuses the development agenda for the individual, team or whole organisation.



# 360-degree (multi-rater) feedback ...(continued)

- It exposes gaps between self-perception and the perception of the manager, peers or direct reports.
- Feedback from many people in various job functions reduces discrimination (race, age, gender) and the 'horns and halo' effect, where a supervisor rates on the most recent interactions only.
- Why organisations may NOT adopt it: multiple assessors cost organisational time; people may not be ready to give or receive honest feedback (some cultures avoid feedback to superiors); tying it to pay makes people hesitant to participate; and written, anonymous feedback cannot be queried for clarification.



## Step 8 — check the plan, involve the team, record the standards

Once the performance plan is developed, check your work against this list: are the critical elements truly critical — does failure mean overall performance is unacceptable? Is the range of acceptable performance clear, quantifiable, observable and verifiable? Are the standards attainable and reasonable, yet challenging enough to require real effort? Are they fair and comparable to similar positions, with some margin of error? Are they applicable — can the appraiser actually use them, and manage the data collected? Will work units and employees understand what is required? Are elements and standards flexible enough to adapt to changed resources or objectives? And if your programme appraises above Fully Successful, is that standard surpassable?

The process of setting standards should include those responsible for meeting them — well-selected, trained employees know more about what is achievable than anyone else.

- After finalising the standards, record and document them properly — in the format the organisation specifies.
- Confidentiality of performance standards must be adhered to, in line with organisational policies and procedures.



## Step 8 — check the plan, involve the team, record the standards ... (continued)

| Team member                                                                                                                           | Supervisor                                                                                                                                             |
|---------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| Helps establish performance goals and standards — a 'self-contract' for achievement and a commitment to deliver a result for the team | Ensures team goals are achievable but challenging enough to meet organisational needs and give a sense of accomplishment                               |
| Develops methods to measure results and checkpoints for control purposes                                                              | Helps balance the complexity of measures and controls with the value received                                                                          |
| Outlines the action required to accomplish goals and standards                                                                        | Participates with the team to test the action plan's validity against alternatives                                                                     |
| Reports progress as work is performed; seeks guidance and assistance when needed; adjusts the plan as required                        | Follows the progress of the work; reinforces achievement and assists in problem solving; ensures targets are met or modified if circumstances indicate |



## LESSON 2

# Prepare for a performance review of a team member



# The performance appraisal interview

A performance appraisal interview is the first stage of the performance appraisal process: the employee and manager sit face to face to discuss all aspects of the employee's performance and thrash out any differences in perception or evaluation. It gives the employee a chance to respond to the evaluation, and the manager a chance to explain it.

The employee being evaluated is the appraisee; the person doing the evaluation — usually the manager — is the appraiser. Both prepare: the appraisee through self-evaluation, the appraiser through an objective evaluation.

The outcome of the appraisal process is the grade decided for the employee, and with it the salary increase or bonus potential awarded.

- Give at least a week's notice so the employee can review their work — more for senior or specialist positions.
- Stress that the appraisal is designed mainly to help the employee understand their own performance.
- Work out a mutually agreeable time; allow enough time in both schedules for the whole interview (45–90 minutes).



# The performance appraisal interview ...(continued)

- Choose a private, comfortable venue without interruptions. Do not sit behind a desk — it transmits a 'superior-subordinate' message; sit together at a table.
- Explain thoroughly how the exercise will run, define the roles, and make clear it is a two-way conversation with your undivided attention.



# The preliminary assessment

Before the interview, the supervisor conducts a preliminary assessment of the employee's performance against the agreed standards — and records the findings for the review meeting and future reference.

- Collect all the information you need for the interview.
- Review the relevant job description — then weed out the important duties from the unimportant.
- Compare the employee's performance against these criteria.
- Look at previous appraisals and whether past goals were met — but do not let old evaluations bias your view of current performance.
- Request comments from other managers who have observed the employee's work.
- Complete the appraisal form so the interview is organised — but do NOT draft the improvement plan yet; that is developed WITH the employee in the interview.
- Observe, observe, observe: be balanced and fair; avoid incidents that are too old, too new or from an atypical period; assess job performance, not personality; when in doubt, let the facts guide you; appraise only if you have enough information.



# The preliminary assessment ...(continued)

- Record findings on a preliminary worksheet: job description changes, professional goals, employee strengths, areas for improvement, organisational strengths/weaknesses affecting the position, and ways the supervisor or organisation can assist.



# Employee self-preparation

The employee must also be given the chance to prepare for the review. A self-appraisal preparation form guides their thinking about past performance and the year ahead — and self-evaluation stimulates discussion about how supervisor and employee can work together to increase effectiveness.

- Past performance: How well did I achieve my objectives? What are my key accountabilities, in order of importance? What were my major accomplishments and their measurable results?
- Have any new accountabilities been added or removed this year? Were there special circumstances that helped or hindered my work?
- What knowledge and skills did I develop, and how did I apply them? What development goals did I achieve?
- Problems and support: What problems did I meet? Could my manager give more guidance or help? Are my skills and abilities being fully used?
- The future: What are my goals for next year, and how do they fit the department's goals? Where do I need more experience or training? What direction should my career take? Am I ready for additional responsibilities?



## Employee self-preparation ...(continued)

- Optional salary dialogue: How do I assess my current salary relative to my performance, and what changes are needed to be recommended for pay improvements?



# Feedback methods and the BISA model

During preparation the supervisor decides how to give feedback. Feedback that is sent in a useful way is not rejected — but no matter how accurate it is, a defensive receiver gets no value from it. Give feedback so the receiver can hear it clearly and objectively.

The BISA model structures non-judgmental feedback: B = Behaviour — identify the specific behaviour you observed; I = Impact — communicate the impact it had on the people present; S = Silence — pause so the person can process and respond; A = Alternatives — ask what could have been done differently, then offer your own suggestions.

- Focus on the behaviour, not the person — 'she cried during the interview', not 'she's a cry baby'.
- Describe rather than judge; be specific rather than general so the receiver knows exactly what to continue or change.
- Feedback must be well timed — as soon as possible after the event — and at the right place: praise in public, criticise in private.
- Only give feedback on behaviour the person can change; keep the amount usable ('less is more'); share ideas rather than give advice; and check the receiver understood.



# Feedback methods and the BISA model ...(continued)

- Start with the positive: acknowledge specific good contributions and their impact — more meaningful than a generic 'Good job!'.
- Documents to prepare: the Employee Goal Review & Planning form, the Peer Assessment form, the Performance Review form, and the Interview Questionnaire with guiding questions.



## LESSON 3

# Conduct a performance review interview



# Opening the interview

The appraisal interview improves job performance by communicating appreciation for the employee's contribution, informing them of the overall appraisal and its criteria, opening a proactive dialogue about correcting weaknesses and building on strengths, clarifying expectations, strengthening the working relationship, and setting goals for the coming year.

- Open by establishing rapport. Explain the purpose of the interview and what will take place — some interviewers prepare a standard opening script.
- Emphasise that the interview is part of an ongoing, two-way feedback process.
- Discuss the job in general first and agree on its key tasks, content and responsibilities.
- Start with areas of agreement and strengths, then move gradually into disagreements and performance weaknesses.
- Use specific, actual examples of good performance — but avoid the pattern where praise always signals incoming criticism.



# Opening the interview ...(continued)

- If the employee is quiet or nervous, ask how particular parts of the job are performed or how specific incidents were handled; give plenty of openings for their own issues, questions and improvement suggestions.



## Handling disagreement and rating fairly

Focusing on actual job behaviour keeps the emotional temperature down. Employees may react unpredictably — the classic reactions are 'fight' (defend and argue back) or 'flight' (avoid the issue or pretend to agree). Both must be resolved during the interview.

- **Fight:** hear the employee out, acknowledge and note what was said, then restate the evidence behind the assessment.
- **Flight:** persist with more direct questions until you get to the bottom of the issue — do not move on until you have.
- Where performance problems exist, explore the specific gap between current and required performance, ways to close it, and the consequences if it is not closed.
- Never link behaviour to personality — that is when interviews go out of control. Address every relevant matter; nothing may be 'left hanging'.
- If a rating disagreement cannot be resolved, record that it occurred — do not escape with an 'average' rating. Consider follow-up action, and be ready to modify your appraisal if the self-appraisal sheds new light.



# Handling disagreement and rating fairly ...(continued)

- Rating techniques: be factual with specific examples; consider day-in, day-out performance over the whole period — not one or two outstanding events; rate the employee, not the importance of the job; avoid rating consistently high or low; build on strength without avoiding needed improvement; the immediate manager conducts the appraisal with no one else present; both parties sign the form.



## Action plans, closing and records

After agreeing the ratings, develop action plans to address performance gaps — in co-operation with the employee. You are NOT dictating a plan: you are working together on a viable plan focused on the most important goals, not every area that could improve.

By the time the appraisal is over, the employee must be able to answer the two most important questions about their work: HOW AM I DOING? and WHERE AM I GOING?

- Choose goals that are specific and practical; set a timetable and ways of measuring achievement.
- Watch for obstacles outside the employee's control — improvement may need education, job experience, counselling, greater responsibility or even a new supervisor.
- Close by summarising the key issues and agreed actions; develop the action plan and give copies to the employee and anyone affected (such as trainers); set a timetable for review and follow-up.
- Complete the rating form; ask the employee to sign it (note if they decline); invite them to add or attach comments; give them a copy; keep appraisals on file for 3–5 years.



# Action plans, closing and records ...(continued)

- Assessment criteria you must meet: performance is monitored against agreed standards using monitoring systems; findings on positive and negative aspects are recorded accurately, fairly and honestly for report-back and follow-up; an action plan addressing gaps and building on positives is agreed with the employee; and agreed actions are documented and signed by both parties.



# Unit quiz — monitor and evaluate team members

Answer every question correctly to complete the unit. The quiz covers performance standards, monitoring systems, preparing for reviews, and conducting the review interview.



# Plan. Coach. Appraise.

You can now formulate performance standards, build a monitoring system, prepare for a review, and conduct a fair, constructive performance review interview. Complete the unit quiz and your Portfolio of Evidence assignment in ITSS Learn.